

General information

Business name	Public Limited Company (AS) Coop Pank
Registered	15.03.1992 in Tallinn
Legal address	Maakri 30, Tallinn 15014, Republic of Estonia
Commercial register number	10237832 (Commercial Register of the Republic of Estonia)
Date of first entry	19.08.1997
Phone	+ 372 669 0900
SWIFT/BIC	EKRDEE22
E-mail	info@cooppank.ee
Website	www.cooppank.ee
Auditor	AS PricewaterhouseCoopers
Commercial register number of the auditor	10142876 (Commercial Register of the Republic of Estonia)
Auditor's address	Tatari 1, Tallinn 10116
Balance sheet date of the financial statements	31.12.2025
Beginning and end of the financial year	01.01.2025 - 31.12.2025
Reporting currency	euro (EUR), in thousands

Members of the Supervisory Board:

Rainer Rohtla (Chairman), Viljar Arakas, Jaan Marjundi, Roman Provotorov, Raul Parusk, Silver Kuus

Members of the Management Board:

Arko Kurtmann (Chairman), Paavo Truu, Alvar Pihlapuu, Heikko Mäe , Karel Parve, Lehar Kütt

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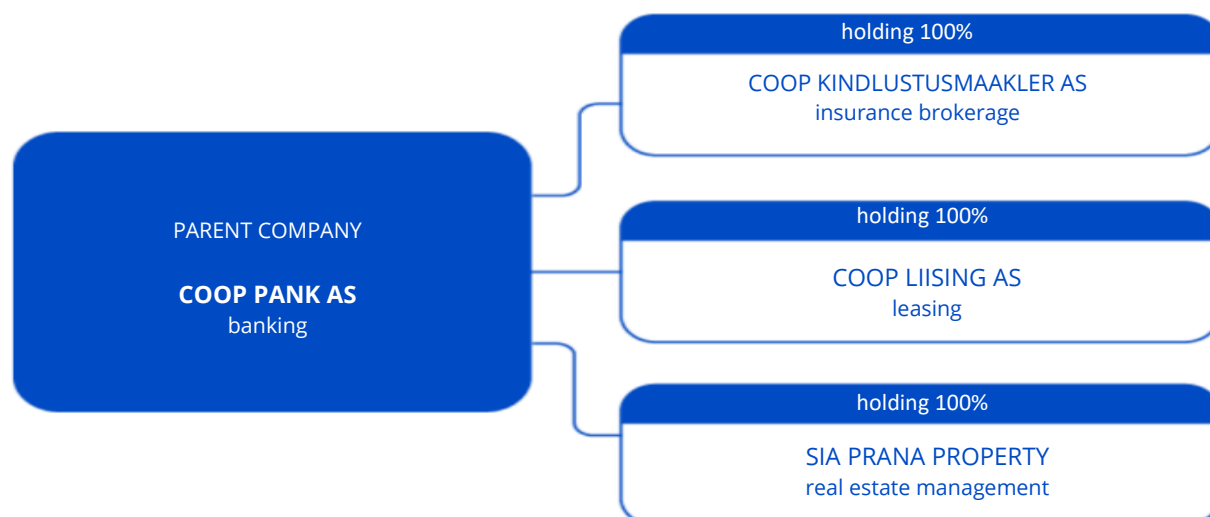
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Management report

Coop Pank was founded in 2017, and since 2019, Coop Pank's shares have been listed on the Nasdaq Tallinn Stock Exchange. The following companies were part of Coop Pank AS group (also used as "consolidation group", "the bank") as at 31.12.2025: Coop Pank AS, Coop Liising AS, Coop Kindlustusmaakler AS and SIA Prana Property. The first four companies are registered in the Commercial Register of Republic of Estonia and SIA Prana Property in the Commercial Register of the Republic of Latvia.

STRUCTURE OF THE GROUP



Strategy

The bank's way of operating for achieving its strategic objectives is as follows:

Estonian bank. Coop Pank is predominantly owned by domestic investors. The bank's customers are mostly residents of Estonia. All our decisions are made in Estonia. Our employees, the Management Board and the Supervisory Board sit at one table, every week if they must. We feel there is public support for domestic capital-based banks. Through its activities, the bank wishes to contribute to the development of Estonian people and companies and thereby support the development of the Estonian economy. In fulfilling this mission, we cooperate proactively with Estonian entrepreneurs who need financial support to implement their business plans in both rural and urban areas. By supporting the development of companies outside the big cities, we contribute to the regional development of Estonia and create opportunities for people to live where they want to in Estonia.

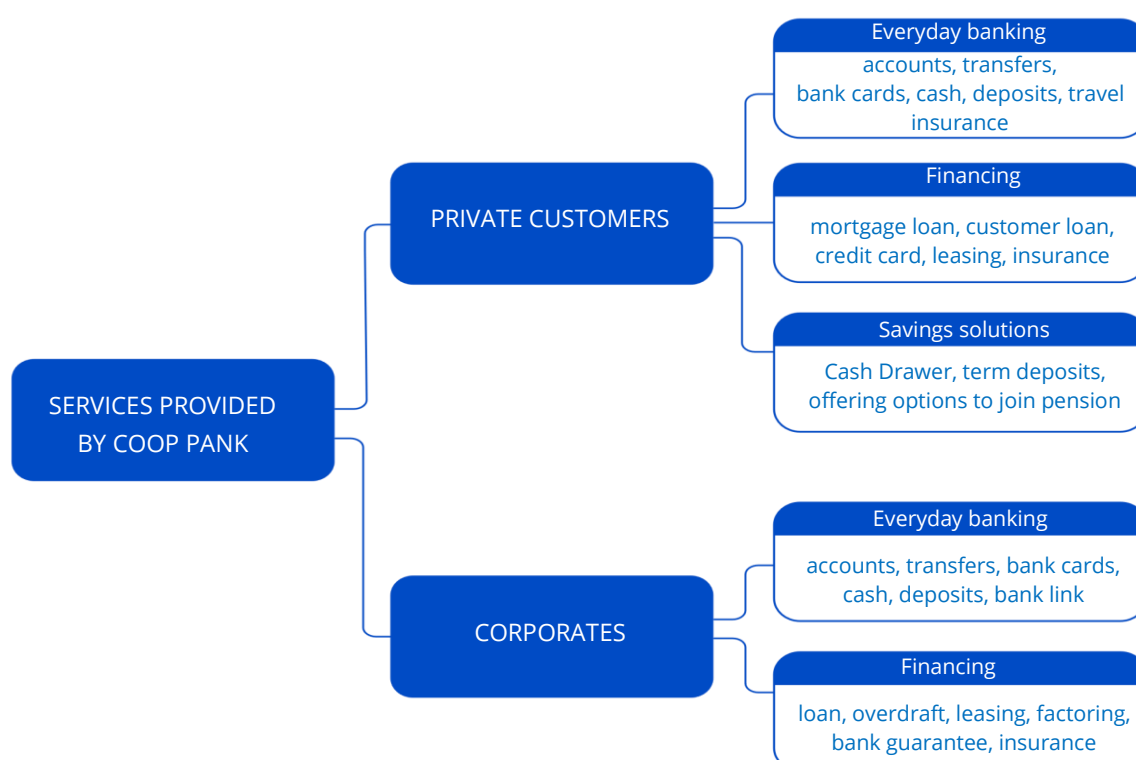
Everyday banking, financing services and saving products. Coop Pank sees its strengths and the resulting growth opportunities primarily in the provision of everyday banking (account, payments, bank card, cash, deposits), financing services (mortgage loan, consumer loan, credit card, business loan, lease financing) and savings products (short term saving, medium term saving into deposits, long term saving in third-party pension funds). In addition, we intermediate the most common property insurance products (motor third party liability insurance, comprehensive insurance, home insurance, travel insurance, purchase insurance) through our insurance broker. Coop Pank has decided to launch investment services in coming years; preparations have begun, but the exact format and scope are yet to be defined.

We're fast. Our way of operating is fast always and everywhere - customer can open an account through electronic channels in about 3 minutes, instant payments are made in seconds, we make a decision on a private customer's small loan or credit card in about 5 minutes and we make a mortgage loan decision or car finance lease receivable decision within one working day.

Digital sales- and service channels and banking with a human face. At a time when the prevailing trend is digitalisation and service on electronic channels, Coop Pank is following the same path, but also differs by offering customers human contact – the bank's customer service advisors are available to assist clients at 16 branches across Estonia.

A bank that suits your life/business. Not the other way around. Coop Pank has an ambition to grow and therefore we strive on behalf of every customer. Our risk appetite is moderately and deliberately above the market average. Having a growth strategy and we see as our strength the will and ability to delve into the wishes of our customers, to approach them personally and to find a solution that suits the customer's wishes. We price everyday banking services on a package basis, allowing for the use of all banking services the customer needs on a daily basis for a fixed monthly fee. We pay interest rates on customer term deposits as well as on demand deposits.

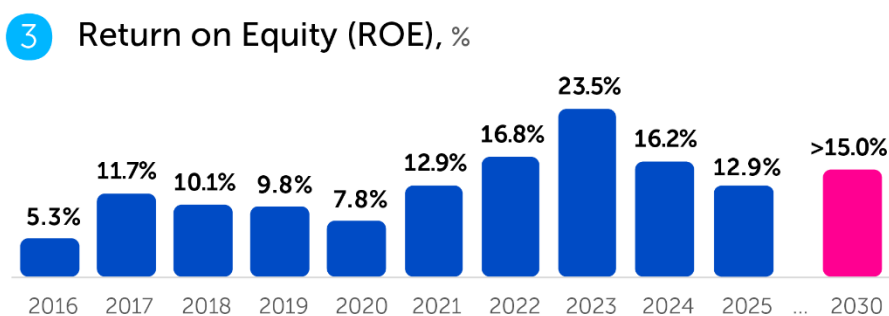
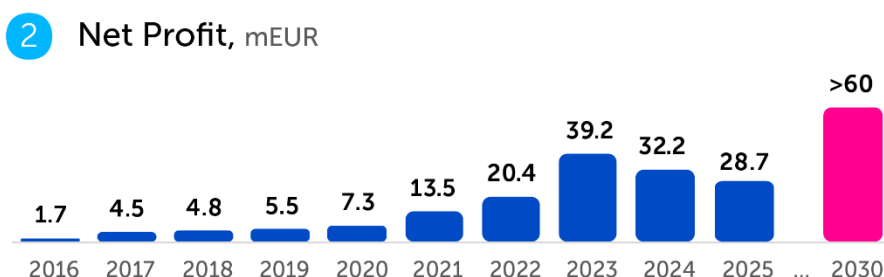
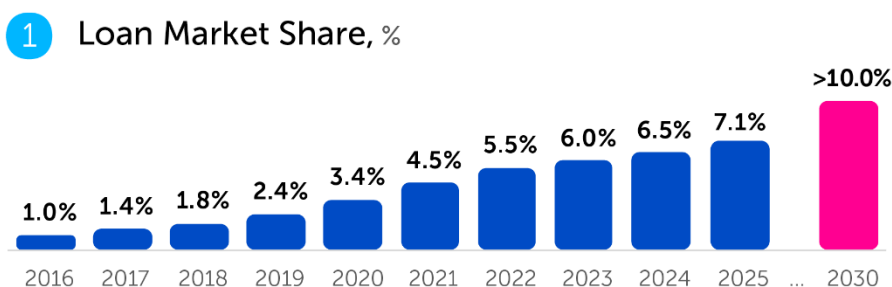
Integration of banking and retail. Thanks to the strategic partnership with Coop Eesti Keskühistu and its 18 member cooperatives, in addition to the usual sales and service channels (offices, internet banking, mobile banking), we can also offer financial services in 320 stores of Coop Eesti Keskühistu member associations all over Estonia. This is expressed through the Coop Sula service, i.e. the possibility to make a cash withdrawal from a bank account or a deposit to a bank account at cash registers of Coop stores. The customer also receives the cheapest prices in Coop Estonia stores when paying for purchases with a Coop Pank card. A customer of Coop Pank's "Kasulik" package also earns a 1% cashback on all purchases made in Coop stores when paying with a Coop Pank debit card, which is transferred to their bank account once a month.



Targets

The mission of Coop Pank is to carry life forward in every corner of Estonia. For this, we give impetus to Estonian companies and help people realise their dreams both in the countryside and in the city. We believe that if Estonian entrepreneurs do well, the Estonian people and Estonia as a whole will do well too, and we want to contribute to that. In recent years, domestic banks have significantly increased their market share, and we see this trend continuing in the future. Coop Pank also has a fast-growing ambition and a willingness to respond quickly and flexibly to customer needs. Since the beginning of operations (2017), we have increased the bank's business volume (number of clients, loan portfolio) 7–10 times.

Over the next five years (by the end of 2030), our strategic goal is to increase the Bank's loan market share in Estonia at least to 10%. The Bank aims to grow annually at a pace 2–3 times faster than the market average, supporting the Bank's ambitious growth strategy. The Bank's objective is to double its profit over the next five years and reach a net profit of at least 60 million euros by 2030. This goal supports the Bank's ability to deliver stable and attractive returns to shareholders. In connection with the growth of business volumes, the Bank sets the objective of continuing to operate with high efficiency (cost to income ratio not exceeding 45%) and offering higher return on equity to shareholders (ROE of at least 15%).



Operating environment

In 2025, the keywords for the economic environment were very modest economic growth in developed countries, receding inflation, declining interest rates, and geopolitical tensions in various regions of the world, including the ongoing war in Ukraine and the military conflict between Israel and Hamas. International economy and geopolitics were dominated by the actions of the President of the United States, including the imposition of trade tariffs at much higher level than seen in decades on various countries and product groups, bringing U.S. geopolitical ambitions to a new level (including in Latin America, in the Middle East, and even Greenland, which belongs to Denmark), as well as direct military intervention in certain regions.

According to the International Monetary Fund (IMF)¹, the global economy grew by 3.2% in 2025, with developed countries' economic growth at only 1.6%. For 2026, global economic growth is forecast at 3.1%, but developed countries are expected to grow by just 1.6%. Throughout 2025, the turbulence created by the U.S. government in international trade and the resulting uncertainty had a significant impact on the global economy. Compared to 2024, inflation decreased significantly, allowing central banks to continue lowering interest rates, which led to a continued decline in all major base rates until the summer of 2025. From summer 2025 until the end of the year, the interest rate environment remained stable, and markets do not expect significant rate cuts or increases from central banks in the near future.

Energy prices were in decline in 2025. For example, the price of Brent crude oil fell from around 70–80 dollars to 60 dollars per barrel over the year. The price of Dutch TTF gas futures, a key indicator for the European gas market, which briefly exceeded 300 euros in 2022, has since fallen sharply and continued to decline in 2025 from 40–45 euros to about 25–30 euros by year-end.

2025 was a very successful year for global stock markets, with major indices rising for the third consecutive year. Key U.S. stock indices saw strong growth: Dow Jones (+13%), S&P 500 (+14%), and Nasdaq Composite (+20%). The German DAX index (+20%) and Japan's Nikkei index (+26%) also grew, despite fundamental problems in these countries' economies and global competitiveness.

The full-scale war between Russia and Ukraine, which began in February 2022, showed no signs of abating by the end of 2025, despite world leaders' efforts to initiate peace talks. Although the course and intensity of the war have not changed, its direct impact on the economic environment is diminishing, as companies have adapted to the new situation shaped by extensive economic sanctions against Russian and Belarusian companies and disrupted supply chains to Russia, Belarus, and Ukraine.

Tensions in the Middle East had not significantly eased by the end of 2025. Although a ceasefire between Israel and Hamas has been in effect since October 10, 2025, real peace in the region has not been achieved. The situation remains tense in other crisis areas in Middle East such as Iran, Yemen, etc.

The euro area's economic environment was characterized by receding inflation and falling interest rates, but also serious problems with the competitiveness of European companies and strained budgets of European countries. Euro area inflation fell steadily to about 2.0% in 2025². For 2026, the European Central Bank (ECB) forecasts³ inflation at 1.9%, which aligns with the ECB's long-term target (2.0%). Since June 2024, the ECB has lowered the deposit facility rate eight times from 4.0% to 2.0%. The last rate cut took place in June 2025. This has also caused other money market instrument rates to fall. For example, the 6-month Euribor, which is linked to most loans of Estonian companies and mortgage loans to individuals, reached a short-term record of 4.1% in October 2023, but fell to 2.1% by the end of 2025. Looking at long-term money market quotations, it can be

¹ <https://www.imf.org/en/publications/weo/issues/2025/10/14/world-economic-outlook-october-2025>

² https://www.ecb.europa.eu/stats/macroeconomic_and_sectoral/hicp/more/html/data.en.html

³ <https://www.ecb.europa.eu/press/projections/html/index.en.html>

said that markets do not expect further rate cuts but rather forecast base rates to remain at around 2.0% or slightly above.

According to the ECB⁴, the average unemployment rate in the euro area was 6.3% in 2025, which is still a very moderate level, and overall, the labor market is not the biggest concern in Europe today. ECB forecasts indicate that the unemployment rate in the euro area will not increase in the coming years, remaining in the range of 5.9–6.1%.

Estonia's real GDP growth in 2025 was 0.7%, according to the Bank of Estonia⁵. Thus, the Estonian economy has emerged from several years of decline, but growth remains very modest. The unemployment rate, which rose moderately during the years of economic downturn, remained stable at 7.6% in 2025. For 2026, the Bank of Estonia forecasts GDP growth at constant prices of 3.6%, inflation at a more moderate 2.9%, and a decrease in the unemployment rate to 6.6%, indicating that the economy is slowly recovering.

The interest rate environment in Estonia is largely determined by ECB actions. Given that euro area inflation has fallen to the desired level, financial markets do not expect further rate cuts from the ECB in 2026. The expectation is that ECB deposit rates will remain at 2.0%. This expectation is already reflected in Euribor rates, bond markets, and long-term swap prices. Bank deposit interest rates, which fell sharply in 2024, continued to decline in the first half of 2025, but have stabilized since summer 2025.

⁴ <https://www.ecb.europa.eu/press/projections/html/index.en.html>

⁵ <https://www.eestipank.ee/press/prognoos-majanduse-elavnemine-tuleb-suurema-riigivola-hinnaga-19122025>

Managing Director's Statement

To evaluate Coop Pank's performance and results in 2025, one must consider the broader context. In 2024, the economic downturn likely reached its lowest point, after which the first signs of a cyclical recovery began to emerge. In 2025, many macroeconomic indicators improved, and we entered the post-recession recovery phase. The decline and subsequent stabilization of interest rates increasingly translated into the loan market, improving confidence among both businesses and households. Confidence was also supported by the predictability of major tax changes for businesses and the stability of energy prices, which provided entrepreneurs with a more favourable planning horizon. As a result, postponed investments began to be carried out once again.

All of this had a positive impact on both Coop Pank's performance and the Estonian banking landscape as a whole – in 2025, the volume of both home and business loans grew by approximately 10% market-wide, which is twice the historical average growth rate of the loan market. Although companies regained investment confidence last year and began to see new growth opportunities, the larger positive effect of these investments on the economy will only become more evident in the second half of 2026 and the first half of 2027.

Coop Pank follows a growth strategy, and in line with this, we continued to grow both our customer base and loan portfolio in 2025. At the heart of all our activities is the customer, and our competitive advantage lies in offering more convenient and faster services. We can only grow if we do something better than our competitors.

The number of Coop Pank customers grew by 19,000 (+9%) in 2025, reaching 227,000 by the end of the year. Increasingly, opening an account is followed by switching to Coop Pank as the customer's main bank for daily banking services. However, growing the number of so-called home bank clients is also one of our biggest forward-looking challenges. Switching one's main bank is what drives the growth of demand deposits and enables us to reduce the cost of funding.

The bank's loan portfolio grew by €340 million (+19%) in 2025. For the first time in Coop Pank's history, our loan portfolio exceeded €2 billion. The loan portfolio's quality remained at a low-risk level throughout the year. The business loan portfolio grew the fastest, increasing by €207 million (+27%). This was followed by growth in the home loan portfolio by €125 million (+17%). Growth in consumer loans and leasing was moderate. Overall, both business and private customer demand for loans remained strong throughout the year. This robust loan demand was also one of the signs of economic revitalization for us.

Coop Pank's net profit amounted to €28.7 million in 2025, decreasing by 11% year-on-year. The decline in net profit compared to the previous year was mainly caused by the lower-interest economic environment, which the 19% growth in business volumes could not offset. While we anticipated net profit decline in 2024 and 2025, our goal is to return to net profit growth in 2026.

In 2025, Coop Pank followed its existing dividend policy and fulfilled the promise made to shareholders by distributing 25% of its 2024 pre-tax profit as dividends. This meant the bank paid out €0.07 per share, transferring a total of €7.2 million in dividends to shareholders.

In the first quarter of 2025, Coop Pank issued covered bonds on the Irish stock exchange for the first time, amounting to €250 million with a four-year maturity. This was the first tranche of a €750 million covered bond program. This initial international issuance provided Coop Pank with an additional long-term and stable funding source, which will be used to finance the growth of businesses operating in Estonia and to improve the availability of long-term loans for Estonian individuals and companies. This stable long-term funding allowed the bank to begin intentionally reducing the volume of more expensive term and foreign deposits.

At the end of the year, Coop Pank entered into a guarantee agreement with the European Investment Bank Group, under which part of the credit risk arising from Coop Pank's loan portfolio will be transferred to EIB Group, thereby providing capital relief to Coop Pank and enabling the bank to issue up to €249 million in new loans to businesses. The new funding will be directed toward projects in Estonia that promote gender equality and environmental sustainability. This is Coop Pank's first synthetic securitization transaction, and also the first such transaction in the Baltics based entirely on the loan portfolio of a single country – Estonia. The capital relief accompanying the agreement enables the bank to issue new loans to Estonian small and medium-sized enterprises (SMEs) and larger mid-cap companies for projects that support gender equality, economic growth, and environmental sustainability.

Additionally, Coop Pank signed a loan agreement at the end of the year with the European Energy Efficiency Fund (EEEF), under which the bank will take an unsecured subordinated loan of €5 million at an interest rate of 6-month Euribor plus 3.25% per annum. The loan is repayable in one lump sum, with the loan term ending on 31 March 2034. The bank has the right to repay the loan early, with the permission of the Finantsinspektsioon (Estonian Financial Supervision and Resolution Authority), after five years from its issuance.

In 2025, the credit rating agency Moody's affirmed Coop Pank's deposit rating at Baa2 with a positive outlook. The confirmation of both the rating and the positive outlook indicates that Coop Pank remains a reliable bank with strong profitability, solid capitalization, and a high-quality credit portfolio. This gives individuals and businesses additional confidence in choosing Coop Pank as their financial partner and keeping their money in a domestic institution.

In 2025, Coop Pank also implemented several product changes to make using a domestic bank even more affordable, flexible, and convenient for customers. For example, the bank introduced a group account feature that allows Coop Pank clients to make payments to government accounts directly from their home bank. As a result, payments are processed internally, making transactions more convenient, faster, and more secure for both the bank's clients and the state. In addition, the bank launched a service enabling merchants to accept payments using an Android smart device, which is an excellent solution for mobile vendors who are constantly on the move.

Coop Pank also elevated its cooperation with Coop retail to a new level – a unique cashback was introduced for joint customers. A customer of Coop Pank's "Kasulik" package now earns 1% cashback on all purchases made in Coop stores when paying with a Coop Pank debit card. The cashback is credited to the customer's bank account once a month. This is the first large-scale loyalty program in Estonia based on cashback rewards. In 2025, Coop Pank paid out over €270,000 in cashback to its customers.

Furthermore, Coop Pank enabled customers to go fully digital by eliminating the need for plastic cards and offering all services via virtual cards. With this, Coop Pank became one of the first banks in Estonia to offer customers full access to virtual cards. Alongside e-services, the bank also increased face-to-face interaction opportunities by opening a branch in the center of Valga, which is regularly open two days a month. Additionally, a larger and more modern branch was opened in Viljandi. Coop Pank has a total of 16 branches across 13 cities in Estonia and boasts the largest cash network in the country.

Among new loan products, the bank introduced a flexible and convenient small business loan for aspiring entrepreneurs – individuals with a clear vision and a desire to realize their business ideas. The bank also lowered the interest rate of its popular Teacher's Home Loan and launched a favourable Home Defender Home Loan product aimed at police officers, rescue workers, active servicemen, and members of the Defence League.

The Teacher's Home Loan was awarded a special prize for inventive communication by the Estonian Public Relations Association (EPRA) and won a Kuldmuna (Golden Egg) in corporate communications from the Estonian

Marketing Association (TULI). In 2025, the Grand Prix for Marketing Act of the Year 2024 was also awarded – it went to the Ministry of Defence's "Will to Defend" project, in which Coop Pank participates through its "Kaardivägi" donation program. The Ministry of Defence also awarded Coop Pank the "Supporter of National Defence" gold-level recognition for the second time, acknowledging the bank's efforts in maintaining income for reservists during exercises and supporting them via the Reservists Fund. Coop Pank is among the top two donors to the Reservists Fund.

Coop Pank also continued to support Estonian sports in 2025, sponsoring top decathletes, both the men's and women's national volleyball teams, and the initiative "Volleyball in Every Estonian School." The bank also provides scholarships, thesis topics, and internship opportunities for TalTech students, helping nurture future financial and technology experts.

In 2025, Coop Pank became the most recommended bank in Estonia, according to a Kantar Emor survey, and achieved first place for phone service and second place for in-branch service in the annual customer survey conducted by Dive. According to Kantar Emor, Coop Pank also ranks among the ten most reputable employers in Estonia. The bank was awarded the Gold Label for Family-Friendly Employer status and retained its Remote Work Leader certification. Kestliku Ettevõtluse Liit KELL (Sustainable Business Association) granted Coop Pank a Gold Label in its Responsible Business Index for the first time.

In the second quarter of 2025, Margus Rink stepped down as Chairman of the Management Board, and in the third quarter, the Supervisory Board appointed Arko Kurtmann as the new Chairman for a three-year term. Kurtmann had served as a member of the Management Board and Head of Business Banking at Coop Pank for the past five years. Following his appointment, the Supervisory Board named Lehar Kütt as the new Head of Business Banking and member of the Management Board. Kütt previously led the business client financing division at the bank for the past four years. As of 1 February 2026, the bank's Chief Information Officer, Alvar Pihlapuu, also joined the Management Board. He joined Coop Pank on 15 September 2025 and has previously worked as Head of the Development Department at the Estonian Tax and Customs Board, CIO at Holm Bank, and IT Development Manager at Eesti Energia and Swedbank.

The bank's strategic goal is to grow its loan portfolio market share in Estonia to 10% by the end of 2030 and to expand annually at a rate two to three times faster than the market average. This target supports the bank's ambitious growth strategy and is achievable thanks to being a local bank with efficient management that offers flexible, fast, and convenient banking services. Coop Pank also aims to double its net profit over the next five years and reach at least €60 million in net profit by 2030. This goal supports the bank's ability to offer shareholders stable and attractive returns. As business volumes grow, the bank aims to operate with high efficiency (cost-to-income ratio below 45%) and deliver an expected return on equity (ROE of at least 15%).

We thank all Coop Pank clients, shareholders, and employees for the year 2025. Our goal is to build a bank that becomes a success story for everyone. A success story for our customers. A success story for our shareholders. A success story for our employees. A success story for society.



Arko Kurtmann

Financial results

Statement of profit or loss, in millions of euros	2025	2024	2023	2022	2021
Net interest income	73.3	77.6	81.3	50.7	35.5
Net fee and commission income	4.5	4.3	4.8	3.8	3.1
Net other income	1.5	0.0	-0.9	0.1	0.6
Total net operating income	79.4	81.9	85.2	54.6	39.2
Operating expenses	-41.5	-40.6	-35.1	-27.2	-22.4
Credit loss allowance	-3.3	-4.6	-6.3	-5.2	-2.5
Income tax expense	-5.8	-4.5	-4.6	-1.8	-0.8
Net profit	28.7	32.2	39.2	20.4	13.5

Business volumes, in millions of euros	2025	2024	2023	2022	2021
Net loan portfolio	2,114	1,774	1,491	1,301	953
Customer deposits and loans received	2,125	1,886	1,722	1,508	1,099
Subordinated debt	63	63	50	38	17
Shareholders' equity	235	212	186	149	112

Ratios	2025	2024	2023	2022	2021
Average shareholders' equity, million euros	223	198	167	121	105
Return on equity (ROE) % <i>(net profit / shareholders' equity, average)</i>	12.9	16.2	23.5	16.8	12.9
Total assets, average, million euros	2,446	2,069	1,866	1,446	1,055
Return on assets (ROA), % <i>(net profit / total assets, average)</i>	1.2	1.6	2.1	1.4	1.3
Cash and interest-bearing assets, average, million euros	2,429	2,054	1,857	1,434	1,039
Net interest margin (NIM), % <i>(net interest income / interest-bearing assets, average)</i>	3.0	3.8	4.4	3.5	3.4
Cost to income ratio, % <i>(total operating costs / total net operating income)</i>	52.3	49.6	41.2	49.7	57.2
Loans to borrowed funds ratio, % <i>(net loans / customer deposits, loans received and debt securities)</i>	88.8	94.1	86.6	86.3	86.8
Dividend to net profit ratio, % <i>(net dividend / net profit for the previous period)</i>	22.4	22.7	22.3	20.3	-
Liquidity Coverage Ratio LCR, %	202.3	206.7	293.4	175.8	201.7
Net Stable Funding Ratio NSFR, %	119.6	127.2	134.3	144.1	133.5
Leverage Ratio LR, % <i>(as defined by the CRD IV)</i>	7.9	8.8	8.4	7.4	6.7

Capitalisation and risk positions

The methodology for calculating the capital base for 2025 has been revised in accordance with the new Capital Requirements Regulation (CRR3).

Capital base, in thousands of euros	31.12.2025	31.12.2024
Tier 1 capital		
Paid-in share capital and share premium	98,771	96,892
Statutory reserve capital	8,424	6,815
Retained earnings excl. profit for the reporting period	96,989	73,629
The accepted profit of the reporting period*	16,449	19,545
Other accumulated comprehensive income/expense**	-104	298
Goodwill as intangible asset (-)	-6,757	-6,757
Intangible assets (-)	-9,212	-12,954
Adjustment of value arising from requirements of reliable measurement (-)	-55	-38
Other deductions from Tier 1 Capital (-)	-1,081	-1,820
Common Equity Tier 1 (CET1)	203,424	175,610
Additional Tier 1 capital	28,148	28,148
Total Tier 1 capital	231,572	203,758
Subordinated debt	35,000	35,000
Tier 2 capital	35,000	35,000
Eligible capital for capital adequacy calculation	266,572	238,758
Risk-weighted assets (RWA)		
Central government and central banks using the standardised approach	0	6,183
Regional governments or local authorities	11	0
Credit institutions, investment companies and local governments using the standardised approach	8,118	2,985
Companies using the standardised approach	279,435	124,619
Retail receivables using the standardised approach	187,554	191,647
Receivables secured by mortgage on real estate using the standardised approach	709,500	638,648
Receivables past due using the standardised approach	8,456	11,217
Acquisition, development and construction (ADC) standardised approach	144,343	131,950
Other assets using the standardised approach	16,976	9,984
Total credit risk and counterparty credit risk	1,354,393	1,117,233
Risk exposure for operational risk (ASA)	78,318	112,728
Risk exposure for credit valuation adjustment (RBA)***	4,863	0
Total risk-weighted assets	1,437,574	1,229,961
CET1 capital ratio %	14.15%	14.28%
Tier 1 capital ratio %	16.11%	16.57%
Capital adequacy ratio %	18.54%	19.41%

* The accepted profit of the reporting period includes profit for the nine-month period ending on 30 September, which was approved by the Financial Supervisory Authority and from which expected dividend payments have been deducted.

** Other accumulated comprehensive income includes revaluation reserve of financial assets at fair value through other comprehensive income.

*** Risk exposure for credit valuation adjustment (CVA) includes the credit valuation adjustment for derivatives held for hedge accounting using reduced basic approach (RBA).

Own funds requirements (31.12.2025)

Core Tier 1 capital ratio	4.50%	Core Tier 1 capital/total risk exposure
Tier 1 capital ratio	6.00%	Tier 1 capital/total risk exposure
Total capital ratio	8.00%	Total capital/total risk exposure
Pillar 2 requirement (P2R)	2.75%	Of total risk exposure
Pillar 2 guidance (P2G)	1.50%	Of total risk exposure
Systematically important banks buffer	0.50%	Of total risk exposure
Capital conservation buffer	2.50%	Of total risk exposure
Countercyclical capital buffer rate	1.50%	Of total risk exposure

As at 31.12.2025, the Group overall capital requirement ratio, incl, Pillar 2 requirement, Pillar 2 guidance and capital buffers, was 16.75%.

The capital conservation buffer of the Group as at 31.12.2025 was 35,939 (31.12.2024: 30,749) thousand euros. The systematically important banks buffer as at 31.12.2025 was 7,188 thousand euros. The countercyclical capital buffer of the Group as at 31.12.2025 was 21,320 (31.12.2024: 18,449) thousand euros. So, the combined buffer of the Group as at 31.12.2025 was 64,448 (31.12.2024: 49,198) thousand euros.

As at 31.12.2025 and also as at 31.12.2024, the Group was in compliance with all regulatory capital requirements.

With its decision of 28.11.2024, Eesti Pank designated Coop Pank AS among systemically important credit institutions. The decision entails an obligation for Coop Pank to maintain an additional capital buffer of 0.5 percent for a systemically important credit institution. The buffer requirement applies to the total risk exposure of the credit institution and must be met by common equity tier 1 own funds (CET1 capital). The aim of the systemically important institutions buffer is to increase the resilience of systemically important market participants. The additional capital buffer obligation for Coop Pank applies from 1 January 2025.

According to the Regulation (EU) number 575/2013 article 392 of the European Parliament and of the Council, an exposure to a client or group of clients is considered as risky concentration where its value is equal to or exceeds 10% of the credit institution's Tier 1 capital (see the table on previous page about capitalisation). According to the EU Regulation number 575/2013 article 400 paragraph 1 the exposures relating to customers as a result of undrawn commitments are exempt from the applicable concentration of exposures limits. In addition, exposures to central governments and central banks which have been assigned a risk weight of 0% are exempt from the applicable concentration of exposures limits.

According to the EU Regulation number 575/2013 article 395 paragraph 1 the value of an exposure to a client or group of clients, after considering the effect of credit risk hedging, may not be more than 25% of the credit institution's Tier 1 capital. As at 31.12.2025 and 31.12.2024, the exposure of any credit institution, client or group of clients did not exceed the risk concentration limits established by Regulation 575/2013.

Group management system

The Coop Pank AS Group acts based on the principle of consolidation, which entails the establishment of collective and coordinated objectives, the sharing of common core values and functioning of competent governing bodies to manage risks across the Group.

The management of Coop Pank AS has three levels, where the governing bodies are the General Meeting of Shareholders, the Supervisory Board and the Management Board. The General Meeting of Shareholders is the highest governing body of Coop Pank AS, which is open to all shareholders and which normally takes place once a year.

The Supervisory Board is appointed by the General Meeting of Shareholders for up to five-year term. Shareholders who hold shares at least 1/10 of the share capital are able to nominate candidates for election of members of the Supervisory Board in the form of a draft resolution of the General Meeting of Shareholders. The candidate for member of the Supervisory Board must have relevant knowledge and experience to participate in the management body of the bank, the composition of the Supervisory Board must be diverse and the Supervisory Board must have sufficient independent members.

The Management Board is appointed by the Supervisory Board for up to five-year term. When appointing members of the Management Board as collegial body, the Supervisory Board ensures that the Management Board that is formed is sufficiently diverse in composition through a profile of knowledge, skills, experience and education in order to make sure that the Management Board has the capability to effectively manage all of the bank's operating segments.

Members of the governing body are appointed based upon requirements applicable to members of governing bodies pursuant to the provisions of the Credit Institutions Act: any appointed individual must have the necessary knowledge, skills, experience, education, professional qualifications and impeccable reputation in business to be able to manage a credit institution. A person whose earlier activities have caused a bankruptcy or compulsory liquidation or revocation of the activity license of a company, or from whom the right to engage in economic activity has been taken away pursuant to law, or whose earlier activities as a manager of a company have shown that he or she is not capable of organising the management of a company such that the interests of the shareholders, members, creditors and clients of the company are adequately protected or whose earlier activities have shown that he or she is not suitable to manage a company for other good reasons cannot be elected or appointed manager of a credit institution. In order to ensure compliance with the aforementioned requirements, the bank has adopted an internal policy for the evaluation of the suitability of a member of its governing body: suitability is evaluated before the individual is appointed member of a governing body and, if necessary, during their term of office as a member. The bank has established a policy for the regular training of members of the management board in order to ensure sustained competency of its management board members.

Management Board



ARKO KURTMANN

Chairman of the Management Board since September 2025

Previously Member of the Management Board and Head of Business Banking at Coop Pank, and prior to that, Head of Corporate Banking at LHV Pank.



PAAVO TRUU

Member of the Management Board since February 2022

Previously CFO at Coop Estonia and Magnum



ALVAR PIHLAPUU

Member of the Management Board since 1 February 2026

Previously Head of the Development Department at the Estonian Tax and Customs Board, CIO at Holm Bank, and IT Development Manager at Eesti Energia and Swedbank.



HEIKKO MÄE

Member of the Management Board since February 2020

Previously CEO at Magnum Veterinary and Head of Energy Trading in Eesti Energia



KAREL PARVE

Member of the Management Board since November 2023

Previously Head of Private Banking at LHV Pank



LEHAR KÜTT

Member of the Management Board since September 2025

Previously Head of Business Client Financing at Coop Pank, and prior to that, Chairman of the Management Board at Estonian Business and Innovation Agency

Supervisory Board



RAINER ROHTLA

Chairman of the Supervisory Board
Member of audit committee
Member of remuneration committee

Chairman of the Management Board of Coop Eesti Keskühistu



VIJJAR ARAKAS

Member of the Supervisory Board

Chairman of the Management Board of EFTEN Capital



JAAN MARJUNDI

Member of the Supervisory Board
Member of remuneration committee

Chairman of the Management Board of Harju Tarbijate Ühistu



RAUL PARUSK

Member of the Supervisory Board
Member of remuneration committee

Member of the Management Board of Kodea



ROMAN PROVOTOROV

Member of the Supervisory Board

Head of Antsla Tarbijate Ühistu



SILVER KUUS

Member of the Supervisory Board
Member of audit committee

Head of development of Agron Halduse
Head of Loricoru Capital

The structure of the Group is designed and approved by the management board of the bank in accordance with the provisions of legislation, the articles of association and the strategies of the bank and its subsidiaries, as well as by adhering to the instructions provided by the Supervisory Board and the development priorities of the bank. The Group's organisational structure is based on a functional structure. Responsibility for the activities of the bank and its subsidiaries is divided between the members of the bank's management board according to field of activity and function, thereby establishing areas of responsibility. The allocation of areas of responsibility among members of the management board is based on the principle of separation of functions, which ensures the separation of controlling entities from controlled entities.

The strategy, purposes and principles of the risk management of the Group is approved by the Supervisory Board of the bank. The Management Board of the bank and the members of Supervisory Boards of the entities belonging to the Group individually approve the plan of action for every company or business line. The core values stated in the Group's strategy stand for the whole Group. The Group manages risks across the entire Group and the following committees have been established:

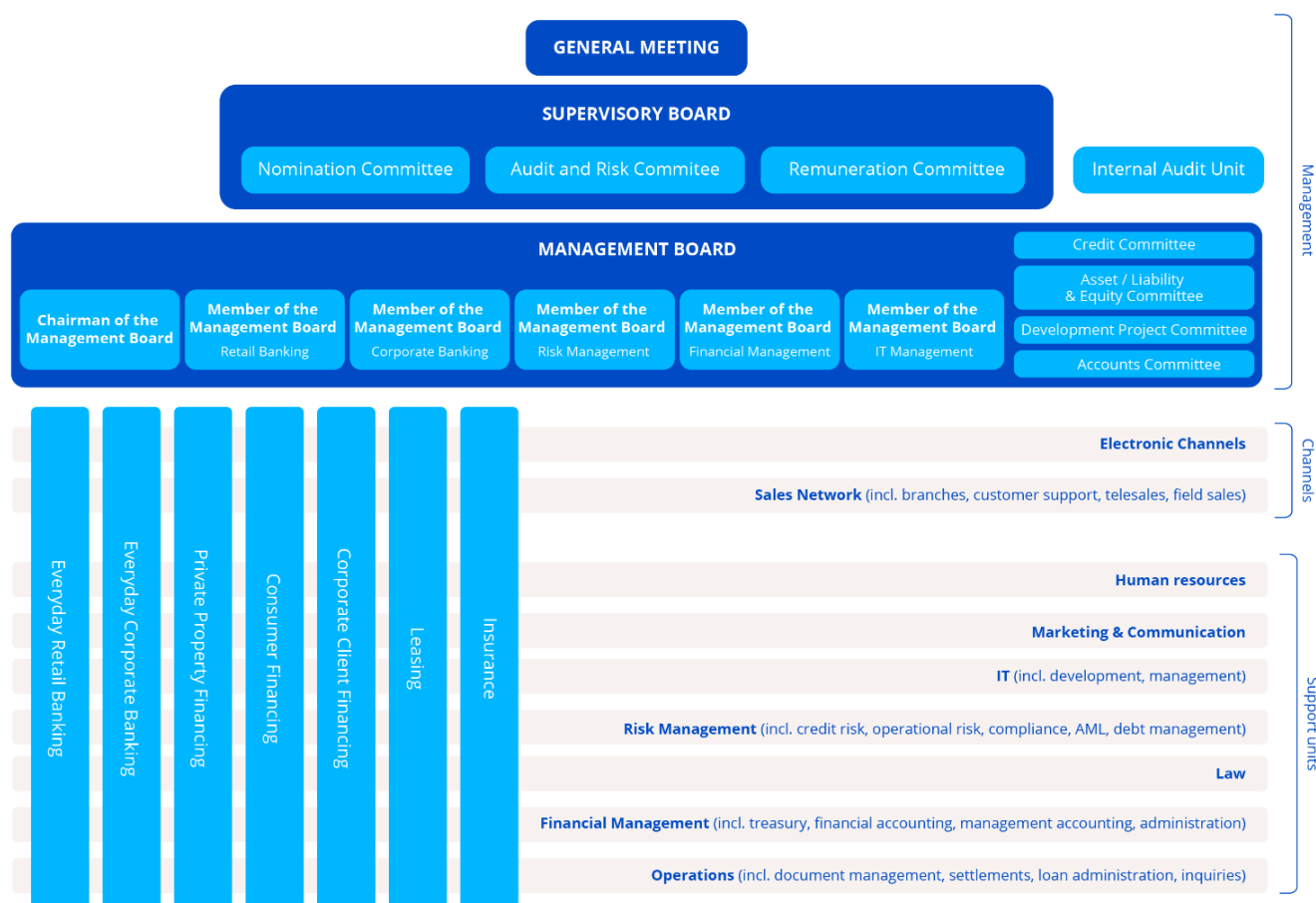
- The Audit and Risk Committee serves as an advisory body in respect of accounting, auditing, risk management, legal compliance, internal control, internal audit and general supervision.
- The Remuneration Committee's role is to evaluate the implementation of remuneration policy and their adherence to the operational objectives of the bank and to evaluate the effect of decisions related to remuneration to compliance with requirements set forth concerning the Group's risk management, own funds and liquidity.
- The Credit Committee is the decision-making body for making credit decisions. The task of the committee is to ensure through their decision-making the adherence to common credit policy across the Group.
- The Asset/Liability Management Committee is a competent body on a group-wide basis for the management of liquidity risk, interest rate risk of the bank portfolio and securities portfolio, designing of the structure of assets and liabilities, management of profitability and management of capital.
- The task of the Account Establishment Committee is to guide through its decisions the establishment and discontinuing of relationships with high-risk clients when necessary.
- The main task of the Investment Projects Committee is to lead different information system developments in order to attain the strategic goals of the Group.

A group-wide internal control system has been implemented by the Group encompassing all operational and management levels for the purposes of ensuring the effectiveness of the Group's operations, reliability of financial reporting, compliance of operations with applicable laws and other legislation, internal regulations approved by governing bodies and the adoption of decisions based on reliable and relevant information. The control is based on a 3-level control system. The first level constitutes internal control that takes place internally within each division. The second level is made up of risk management and compliance functions that operate as autonomous and independent control units. The third level comprises the internal audit unit that exercises control over the entire operations of the Group.

The Group has a uniform remuneration policy. Employees are paid salaries and performance fees according to the market level. In addition to monetary incentives, employees also have many non-monetary benefits such as flexible working hours, the possibility to work from home, different common activities and benefits for health insurance and sports. The Group's employees work under employment contracts, while members of the management board work based on authorisation agreements.

For the bank, employee satisfaction and development are important. To ensure this, various development training and joint events are organised, such as the Gala of the beginning of the year, internal communication events and summer days. Annual and semi-annual interviews are conducted with all staff throughout the year to ensure staff development and that their activities are aligned with the Bank's strategy and common goals.

Group structure



Until February 2026, the Bank's Management Board consisted of five members, and as of February, the Board continues with six members. The Supervisory Board of Coop Pank AS has appointed the bank's Head of IT, Alvar Pihlapuu, as a new Member of the Management Board. In addition, Alvar Pihlapuu has been appointed as a Member of the Supervisory Boards of Coop Pank AS's subsidiaries Coop Liising AS and Coop Kindlustusmaakler AS. His mandate as a Management Board Member and as a Member of the Supervisory Boards of subsidiaries will commence on 1 February 2026 and will last for a term of three years.

Shares

Coop Pank AS has issued ordinary shares, each share giving one voting right. The shares are listed on the main list of Nasdaq Tallinn with ISIN code EE3100007857 as of 10.12.2019. The share subscription price during the IPO was 1.15 euros. As of 31.12.2025, the share price was 2.11 euros. In 2025 the lowest tradable price was 1.90 euros and the highest price was 2.35 euros. As of 31.12.2025, the market value of the bank was 219.2 million euros on the basis of the share price. Throughout the year, the turnover of transactions totalled 23,1 million euros and 11.2 million shares changed hands with an average transaction price of 2.05 euros.

The ratio of share price to earnings per share at the end of 2025 was 7.6. The basis for finding the ratio is the market capitalisation of Coop Pank as of 31.12.2025 divided by the net profit of the year. The book value of the share as of 31.12.2025 was 2.26 euros and the ratio of the share price to the book value of the share was 0.93.

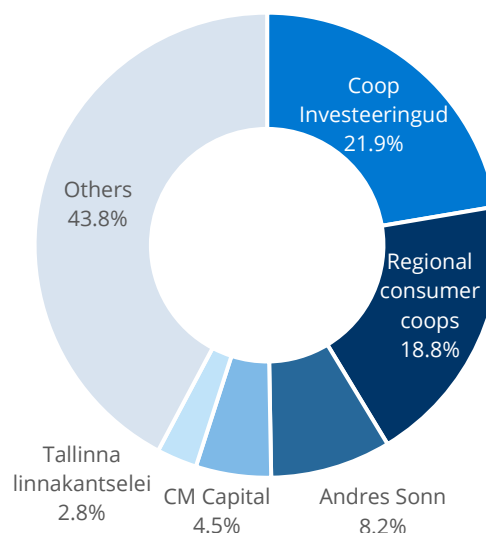
Share price €, trading volume thousand shares



As at 31.12.2025 shareholders with holdings over 5% are:

Coop Investeeringud OÜ	21.86%
Andres Sonn	8.21%

Shareholder distribution as at 31.12.2025



In addition, the member cooperatives of Coop Eesti Keskühistu hold a total of 18.84% of the total amount of shares. Separately, none of them hold over 5%.

The bank has 32,881 shareholders as of 31.12.2025, of which 56 shareholders are institutional investors, i.e. owning at least 100,000 shares.

From all shareholders 32,585 (99.1%) are residents of the Republic of Estonia and 296 (0.9%) shareholders are residents of other countries.

The shares are entitled to a dividend (see chapter 'Dividend policy').

In exercising the share option programmes, the shareholders have delegated the authority to issue new shares to the Supervisory Board.

Dividend policy

At the shareholders' meeting on 08.11.2019 the dividend policy was approved, according to which the consolidation bank aims to pay a dividend of 25% of the annual earnings before taxes (incl. income tax), attributable to shareholders of the Group. Preconditions for dividend payment are:

- compliance with external and internal capital and liquidity requirements;
- the level of capital after dividend payments shall be sustainable and sufficient to ensure business growth and investment needs.

Dividend payments have been made as follows:

On May 7, 2024, Coop Pank paid a dividend of 0.087 euros (net) per share from the profit earned in 2023, in the total net amount of 8,895 thousand euros. Part of the dividends (1/3 from dividends paid out in 2022 and 2023) were taxed at a preferential rate of 14/86 and the remaining part at a rate of 20/80.

On May 6, 2025, Coop Pank paid a dividend of 0.07 euros (net) per share from the profit earned in 2024, in the total net amount of 7,209 thousand euros. The dividend was taxed at an income tax rate of 22/78.